

The Impact of Greenwashing on Consumer Behavior

**Understanding the Role of Deceptive Sustainability
Claims in Shaping Consumer Trust, Purchasing
Decisions, and consequent Market Trends**

Researcher Profile

**The researchers behind this study,
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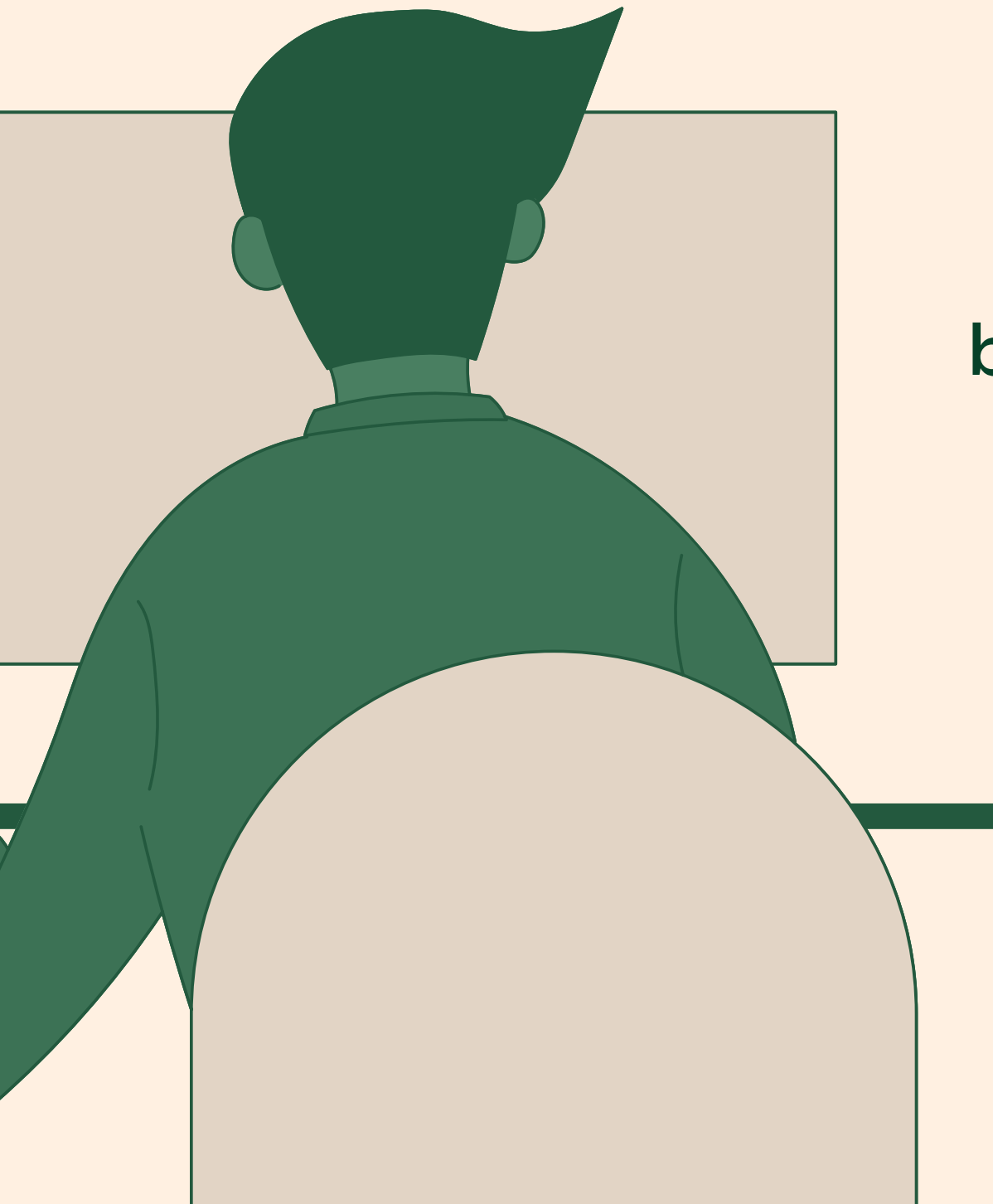
**are students pursuing a BA in Economics and Finance and a BBA in
Digital Technologies, with a particular interest in the intersection of
sustainability and consumer behaviour.**

Research, Background & Motivation

Greenwashing is the practice of making misleading or deceptive claims about a company's environmental practices or the sustainability of its products to attract eco-conscious consumers.

With the increasing demand for sustainable products, businesses may be tempted to make false or exaggerated environmental claims.

This research examines how greenwashing affects consumer behavior, trust, and purchasing decisions, focusing on the real-world implications of deceptive marketing in sustainability.



Methodology

Sampling Design:

The study employs a stratified sampling design to ensure representativeness across key demographic variables, such as age, gender, income, and geographical location.

Research Design:

Quantitative Analysis of consumer responses regarding greenwashing.
Survey-based research collecting responses from 64 participants.

Data Collection:

A sample of 64 respondents was surveyed about their understanding of greenwashing, trust in green ads, and the role of sustainability in purchasing decisions.

Methodology

Hypotheses Tested:

Hypothesis 1: At least 50% of consumers know what greenwashing is.

Hypothesis 2: 75% or more of consumers factor in environmental impact when purchasing.

Hypothesis 3: Consumers trust green ads run by companies.

Hypothesis 4: Consumers verify information from green ads.

Hypothesis 5: Consumers continue buying after learning they have been greenwashed.

Statistical Tests:

Z-test for proportions & T-test to test the hypotheses.

Significance Level: 5% (p-value = 0.05)

Limitations

Sample Bias: Over-representation of environmentally conscious consumers.

Geographical Constraints: Findings may lack global applicability.

Self-Reported Data: Social desirability bias in responses.

Evolving Marketing Tactics: Greenwashing methods may outdate findings.

Findings

Finding 1: There is sufficient evidence to support that at least 50% of consumers know what greenwashing is, indicating growing awareness among consumers.

Finding 2: Less than 75% of consumers factor environmental impact into their purchasing decisions, suggesting that environmental concerns are not a dominant factor for many consumers.

Finding 3: Consumers show a low level of trust in green ads, with the average trust level falling below neutral (a rating of 3 on a scale of 1–5).

Findings

Finding 4: At least 50% of consumers verify green ads, indicating that many are cautious but also that a substantial number of consumers do not verify claims.

Finding 5: Consumers continue buying products even after learning they have been greenwashed, suggesting a lack of sensitivity to misleading sustainability claims.

Recommendations

A. Increase Transparency in Green Marketing: Companies should provide clear, verifiable evidence of sustainability efforts to regain trust.

B. Promote Environmental Awareness: Educate consumers about the impact of their purchasing decisions on the environment, using clear and transparent messaging.

C. Make Verification Processes Easier: Offer easy-to-understand certifications and labels that consumers can trust, and encourage verification.

D. Engage with Skeptical Consumers: Develop marketing strategies that acknowledge skepticism and provide proof of sustainability claims.

Thank You!